

ANATOMY OF A CANDLE

Deep Dive into Price Action

DOJO GAINS - Mentorship

Beyond the Basics

- You know OHLC - but what does it MEAN?
- Every candle tells a story of the battle
- Understanding candles = reading the market's mind
- This session: How to decode institutional activity
- Learn to see what retail traders miss

The Four Elements

OPEN

Where the battle began

LOW

Maximum seller reach

HIGH

Maximum buyer reach

CLOSE

Who won the battle

Close relative to Open = Battle outcome

Wicks = Rejected price levels

Reading the Body

- LARGE BODY = Strong conviction, one side dominated
- SMALL BODY = Indecision, balanced battle
- Close near HIGH = Buyers in control at close
- Close near LOW = Sellers in control at close
- Body as % of range = Conviction meter

Body size = Commitment level

Reading the Wicks

- UPPER WICK = Buyers pushed up but got rejected
- LOWER WICK = Sellers pushed down but got rejected
- Long wick = Strong rejection at that level
- No wick = Full conviction, no rejection
- Wicks show where stops were hunted

Wicks = Rejection + Stop hunts

Context is Everything

- Same candle pattern = Different meaning in different contexts
- WHERE the candle forms matters more than WHAT it looks like
- Hammer at support = Strong buy signal
- Hammer in middle of range = Weak signal
- Always ask: Where is this candle forming?
- Key levels + Candle pattern = High probability

Spotting Institutional

- DISPLACEMENT CANDLE: Large body, small wicks
- Shows aggressive institutional buying/selling
- Creates FVGs and breaks structure
- Usually followed by retracement (FVG fill)
- These are the candles that matter most
- Enter on retracement to displacement zone

Big candle = Big money moved

Rejection Candles

- PIN BAR: Long wick, small body at one end
- Shows strong rejection of a price level
- The wick is the 'lie' - price couldn't hold there
- The body is the 'truth' - where price actually closed
- Trade in direction of the body, not the wick
- Best when formed at key S/R levels

Rejection = Opportunity

Engulfing Candle Deep Dive

- True engulfing: Body engulfs previous body
- Even stronger: Body engulfs entire previous candle
- Shows complete shift in control
- First candle = Old sentiment
- Second candle = New sentiment taking over
- Volume should increase on engulfing candle

Engulfing = Power shift

Reading Candle Sequences

- Single candles are clues, sequences are stories
- 3 consecutive large candles = Strong trend
- Shrinking candles = Momentum fading
- Doji after trend = Indecision, possible reversal
- Look for the pattern in the sequence
- Each candle adds to the narrative

Key Takeaways

- Body = Who won | Wicks = Who got rejected
- Large body = Conviction | Small body = Indecision
- Context matters more than pattern
- Displacement candles show institutional activity
- Rejection wicks at key levels = Opportunity
- Read sequences, not just individual candles

The candle tells the truth